

Bridgewater also has a beta-based strategy, *All Weather*, which has an objective of delivering beta returns in a portfolio mix that is balanced so that it will do well in different market environments. In 2009, Bridgewater launched All Weather II, which is a constrained version of All Weather that limits “safe” environment investments when the firm’s “depression gauge” indicator is activated.

The idea that the same fundamentals would have different implications under different circumstances and environments is an essential component of Dalio’s analytical thinking. As a result, categorization is an important tool for both conceptualizing problems and finding solutions. One example of category-based thinking is what I would call *quadrant conceptualization*—two key factors and two states provide four possible conditions. Bridgewater’s beta fund, the All Weather Fund, provides an example of this type of thinking. The fund combines two factors—growth and inflation—and two states—increasing and decreasing—and comes up with four conditions:

1. Growth increasing
2. Growth decreasing
3. Inflation increasing
4. Inflation decreasing

This four-part categorization reflects Dalio’s view that changes in expected growth and expected inflation are the dominant reasons that some asset classes do well when others do poorly. The fund’s strategy is to balance the portfolio with investments that do well in each of the above four environments. In contrast, most conventional portfolios substantially overweight assets that do well in the first category (i.e., growth-increasing environment), leading to unbalanced portfolios that can do poorly in other types of environments.

Another example of quadrant conceptualization is the way Dalio categorizes the economic outlook for different countries. Here he divides the world into two types of countries—creditors and debtors—and he defines two key distinguishing characteristics for each—countries that can exercise independent monetary policy and those that can’t. So there are four classifications of countries: